

EQUITY RESEARCH

APPLE INC.

AAPL | Technology

Rating: Outperform
Current: \$270.17 | Target: \$287.00

April 2026

Key Metrics Snapshot

Market Cap	\$3,966.40B	ROE	151.91%
P/E (Fwd)	34.09	Dividend Yield	0.38%
P/B Ratio	51.79	52W Range	\$193.25 - \$288.62

Investment Thesis

Apple Inc. demonstrates steady top-line growth with revenue expanding at a 3.3% CAGR toward an estimated \$482 billion by 2027, supported by consistently expanding contribution margins approaching 50%. While EBITDA generation remains robust at \$144 billion in 2025 with forward estimates projecting meaningful margin expansion to 44.8% by 2027, the company trades at a premium EV/EBITDA multiple of approximately 27x relative to peers Google and Microsoft, reflecting the market's confidence in its ecosystem durability. With EPS on a steady upward trajectory from \$7.49 in 2025 to an estimated \$8.93 by 2027 and disciplined SG&A; management driving operating leverage, Apple remains a high-quality compounder albeit at a valuation that leaves limited margin of safety relative to its peer group.

Company Overview

Apple Inc. (AAPL) is one of the world's most valuable and recognizable technology companies, headquartered in Cupertino, California. Founded in 1976 by Steve Jobs, Steve Wozniak, and Ronald Wayne, Apple has grown into a global technology leader with a market capitalization consistently ranking among the largest in the world.

Apple operates a tightly integrated business model built around the design, development, and sale of consumer electronics, software, and digital services. Its core hardware product lineup includes the iPhone, which remains the primary revenue driver, alongside the Mac computer line, iPad, Apple Watch, and AirPods. Complementing its hardware ecosystem, Apple has aggressively expanded its Services segment, which encompasses the App Store, Apple Music, Apple TV+, iCloud, Apple Pay, and Apple Care. This services business has become an increasingly important contributor to margins and revenue stability, helping offset the cyclical nature of hardware sales.

From a market position standpoint, Apple commands a premium brand identity and deep customer loyalty, supported by its proprietary operating systems including iOS, macOS, and watchOS. This ecosystem lock-in creates significant switching costs and drives recurring revenue. Apple competes directly with Alphabet, Microsoft, Samsung, and a range of other technology and consumer electronics firms across its various business lines.

Financially, Apple has demonstrated resilient performance over the review period. Revenue grew from approximately 366 billion dollars in fiscal 2021 to 416 billion dollars in fiscal 2025, representing a compound annual growth rate of 3.3 percent. After a modest contraction of 2.8 percent in fiscal 2023, growth has resumed, with fiscal 2025 delivering a 6.4 percent increase. Contribution margins have expanded consistently, rising from 41.8 percent in 2021 to 46.9 percent in 2025, reflecting the growing mix of higher-margin services revenue. EBITDA grew to approximately 144 billion dollars in fiscal 2025, though Apple's EBITDA margin of 34.7 percent trails forward estimates that project meaningful expansion toward 44.8 percent by 2027 as operational efficiencies materialize and SG&A; margins compress from 6.6 percent to an estimated 5.1 percent.

On a relative basis, Apple's EV/EBITDA multiple of approximately 27 times in 2025 sits at a premium to Alphabet's 21 times but is broadly comparable to Microsoft. Earnings per share have grown from 5.67 dollars in 2021 to 7.49 dollars in 2025, with forward estimates projecting continued growth toward 8.93 dollars by 2027, supported by ongoing share buybacks and margin improvement. Apple remains a fundamentally strong franchise with durable competitive advantages and a credible path to sustained earnings growth.

Investment Overview

Apple Inc. (AAPL) Investment Update

Recent Financial Performance

Apple delivered solid fiscal 2025 results, with revenue reaching \$416.2 billion, representing 6.4% growth and a meaningful acceleration from the modest 2.0% expansion recorded in fiscal 2024. Earnings per share climbed to \$7.49, up from \$6.11 in the prior year, reflecting disciplined cost management alongside top-line momentum. EBITDA grew to \$144.4 billion, with margins holding steady near 34.7%, consistent with the company's historical profitability profile. Contribution margins have shown a steady upward trend, improving from 41.8% in 2021 to 46.9% in 2025, underscoring Apple's durable pricing power and favorable product mix shift toward higher-margin services.

Growth Drivers

The services segment remains the primary engine of margin expansion, with contribution margins projected to approach 50% by 2027. SG&A; efficiency is improving, with the ratio expected to decline from 6.6% to 5.1% over the forecast period. EBITDA margins are projected to expand significantly to 44.8% by 2027, well ahead of

historical levels near 34%, suggesting meaningful operating leverage as services scale.

Outlook and Valuation

Forward estimates project revenue growing at a 3.3% CAGR through 2027, reaching approximately \$481.7 billion, with EPS advancing to \$8.93. The stock currently trades at a forward PE of approximately 32.4x, a premium to historical averages, though the multiple compresses to 29.2x on 2027 estimates. Relative to peers, Apple's EV/EBITDA of roughly 27.0x sits above Alphabet at 21.2x but broadly in line with Microsoft. Competitive pressure from Alphabet and Microsoft, both displaying faster EBITDA growth trajectories, warrants monitoring. We maintain a constructive view contingent on continued services momentum and AI integration progress.

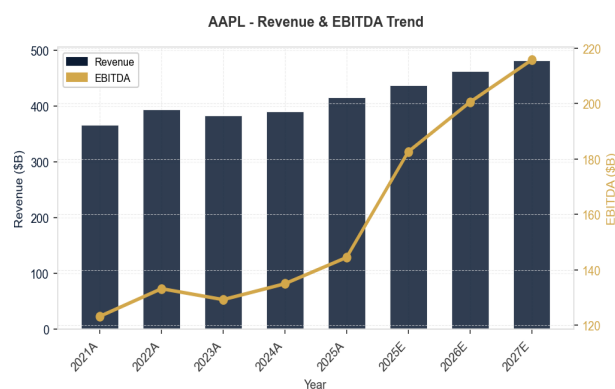
Financial Analysis

Revenue & EBITDA Performance

Apple Inc. has demonstrated moderate revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2025A): \$416.2B
- EBITDA (2025A): \$144.4B
- Revenue Growth (2025A): 6.4%



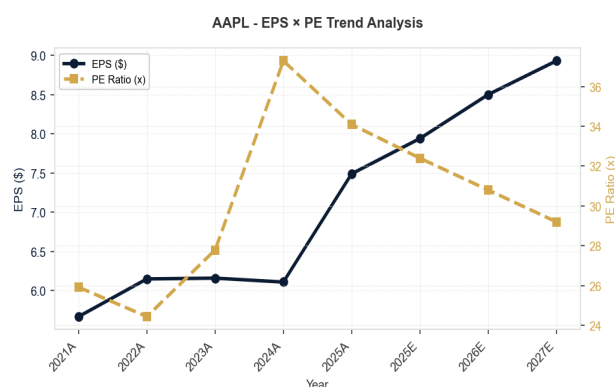
Source: Company Filings

Earnings & Valuation Metrics

Apple Inc.'s earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2025A): 7.49
- PE Ratio (2025A): 34.09



Source: Company Filings

Valuation Analysis

Apple Inc. (AAPL) Valuation Analysis

Current Valuation Metrics

Apple currently trades at a trailing P/E of approximately 34.1x based on 2025 actual EPS of \$7.49, with forward estimates declining to 32.4x in 2025E, 30.8x in 2026E, and 29.2x in 2027E as earnings continue to grow. The EV/EBITDA multiple stands at 26.97x on 2025 actuals, reflecting a premium valuation relative to historical levels. Notably, projected EBITDA margins are expected to expand significantly from the historical range of 33.7% to 34.7% toward 41.8% in 2025E and 44.8% by 2027E, which would meaningfully support the current premium if realized. Revenue is projected to grow at a modest 3.3% CAGR through 2027, with EPS reaching \$8.93, suggesting earnings growth is being driven more by margin expansion and capital returns than top-line acceleration.

Peer Comparison

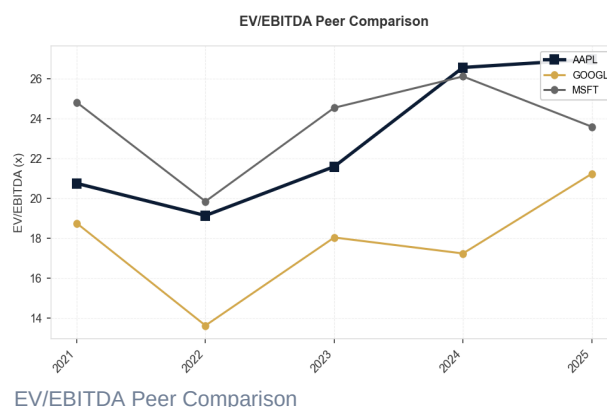
Relative to peers, Apple's EV/EBITDA of 26.97x compares to Alphabet at 21.23x and Microsoft at 23.60x in 2025, placing Apple at a notable premium to both. This premium is difficult to justify on growth alone, given that Alphabet's EBITDA is projected to reach \$210.7 billion in 2026 versus Apple's \$150.4 billion, reflecting stronger absolute earnings momentum at a lower multiple.

Fair Value Assessment

Based on a blended forward EV/EBITDA of approximately 24x to 25x, which better reflects peer parity, and applying this to 2026E EBITDA of roughly \$200.6 billion, Apple's implied enterprise value suggests modest downside risk from current market pricing. The stock appears fairly to slightly overvalued at current levels unless the aggressive margin expansion embedded in forward estimates is fully achieved.

Peer Comparison

Year	AAPL	GOOGL	MSFT
2021	20.75	18.76	24.81
2022	19.14	13.63	19.85
2023	21.59	18.04	24.54
2024	26.56	17.24	26.11
2025	26.97	21.23	23.60



Recent News & Events

News Summary

Apple Inc. (AAPL) Summary

Apple heads into its Q2 fiscal 2026 earnings report with considerable momentum and multiple catalysts drawing investor attention. Analysts broadly expect strong results driven by iPhone 17 shipment volumes, with new Mac

and iPad launches providing incremental upside. The Services segment continues to be a standout performer, growing 14% year-over-year to \$30 billion in Q1 2026, supported by a 36% rise in Apple TV+ viewership, expanding sports rights, and Apple Arcade surpassing 200 games. This aligns with the financial data showing EBITDA margin expansion toward 43.3% in 2026 estimates, a meaningful step up from the 34.7% reported in 2025.

Beyond near-term earnings, Wall Street is closely monitoring Apple's CEO succession planning, which introduces an element of leadership uncertainty that could weigh on sentiment despite otherwise solid fundamentals. On the product side, Apple is reportedly planning a significant AI-driven overhaul of its camera and photo-editing capabilities within iOS 27, reinforcing its Apple Intelligence platform strategy and competitive positioning in the AI consumer space.

From a valuation standpoint, Apple trades at a forward EV/EBITDA near 27x, at a premium to Alphabet but broadly in line with Microsoft. Revenue is projected to grow at a modest 3.3% CAGR through 2027, while EPS is expected to climb from \$7.49 to \$8.93, suggesting margin-driven earnings expansion rather than top-line acceleration.

Retail sentiment is mixed, with Reddit notably bearish at 27% bullish while X.com shows 73% bullish sentiment, reflecting a wide divergence in investor opinion. The overall buzz score of 76.3 signals elevated attention heading into earnings, making the report a key near-term catalyst for the stock.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 41.8%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 43.3%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 44.8%

Confidence Intervals:

- Revenue: \$340.1B - \$623.3B (95% confidence)
- EBITDA: \$152.4B - \$279.3B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: $\pm 5\%$ change in growth rate
- Margin sensitivity: $\pm 2\%$ change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%):

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

Key Catalysts

Catalyst Analysis for AAPL

Positive Catalysts (Upside Potential)

- Earnings (2026-04-29): Will Apple Report Blowout Q2 Results as it Navigates a CEO Succession Plan?
- Impact: HIGH, Probability: 95%
- Market (2026-04-29): AAPL's Services Growth Rides on Strong Content & Games: What's Ahead?
- Impact: LOW, Probability: 50%
- Earnings (2026-04-29): Apple's Q2 Earnings: Strong iPhone 17 Shipment to Aid Top-Line Growth
- Impact: HIGH, Probability: 95%
- Product Launch (2026-04-28): Apple stock: UBS explains why Q2 earnings will come in strong
- Impact: MEDIUM, Probability: 70%
- Product Launch (2026-04-28): Apple introduces a cheaper option for App Store subscriptions
- Impact: MEDIUM, Probability: 70%

Risk Factors (Downside Risks)

- Earnings (2026-04-29): Apple: Tim Cook Exits At The Top
- Impact: HIGH, Probability: 95%

Events to Monitor

- Here's How Much Apple Stock Is Expected to Move After Earnings (2026-04-29)
- Why a Tech Behemoth Just Bet \$750 Million on the Future of Racing (2026-04-29)
- Apple Stock Poised for 21% Surge (2026-04-28)

Upcoming Catalysts:

- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▼ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)

Positive Catalysts:

- ✓ Will Apple Report Blowout Q2 Results as it Navigates a CEO Succession Plan?
- ✓ AAPL's Services Growth Rides on Strong Content & Games: What's Ahead?
- ✓ Apple's Q2 Earnings: Strong iPhone 17 Shipment to Aid Top-Line Growth
- ✓ Apple stock: UBS explains why Q2 earnings will come in strong
- ✓ Apple introduces a cheaper option for App Store subscriptions
- ✓ Tim Cook's Exit: Why Apple's CEO Handoff Could Signal Q2 Earnings Beat
- ✓ The Mag 7 Earnings Gauntlet Begins: Four Reports That Could Reset the Market

Risk Factors:

- Apple: Tim Cook Exits At The Top

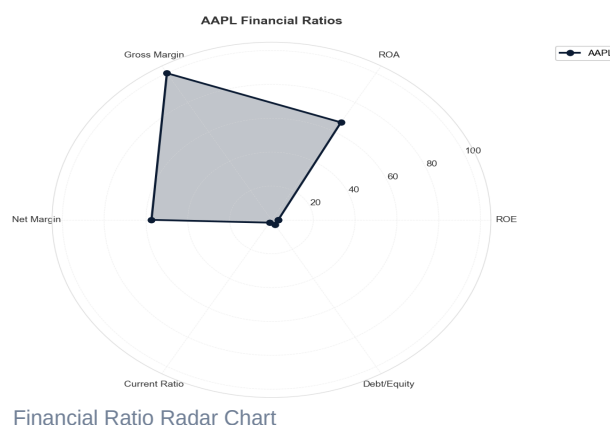
Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Apple Inc.'s financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.

Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators



Competitive Landscape

Apple Inc. Competitor Analysis

Apple Inc. operates in a highly competitive landscape dominated by mega-cap technology peers, most notably Alphabet Inc. (GOOGL) and Microsoft Corporation (MSFT). Across key financial metrics, each company demonstrates distinct strengths and trajectories worth examining closely.

In terms of revenue growth, Apple has delivered modest but steady expansion, with a projected CAGR of 3.3% through 2027. This trails the growth momentum seen at Alphabet and Microsoft, both of which benefit from accelerating cloud and AI-driven revenue streams. Apple's revenue dipped in 2023 before recovering, highlighting its relative dependence on hardware cycles, particularly iPhone demand.

On EBITDA, Apple held a clear lead over both peers through 2023, generating over \$129 billion compared to Alphabet's \$98 billion and Microsoft's \$105 billion. However, this advantage has eroded significantly. By 2025, Alphabet surpassed Apple with approximately \$180 billion in EBITDA versus Apple's \$144 billion, and Microsoft also pulled ahead at \$160 billion. Projections for 2026 suggest this gap will widen further, putting Apple in third place among these peers on absolute earnings power.

From a valuation standpoint, Apple trades at a premium EV/EBITDA multiple relative to Alphabet, which has consistently traded at a discount despite stronger recent earnings growth. Microsoft commands a comparable premium, reflecting investor confidence in its cloud and AI positioning. Apple's multiple of roughly 27x in 2025 appears increasingly difficult to justify given slowing growth and declining relative EBITDA performance.

Overall, while Apple remains a formidable and highly profitable business with expanding margins, its competitive positioning relative to Alphabet and Microsoft is weakening, particularly as AI and cloud infrastructure become the primary drivers of technology sector value creation.

Risk Factors

■ # Apple Inc. (AAPL) — Key Investment Risks

■ **Decelerating Revenue Growth & Concentration Risk:** Apple's historical revenue CAGR of 3.3% reflects slowing momentum, with a notable contraction of -2.8% in 2023. Heavy dependence on iPhone sales (~50%+ of revenue) leaves the company vulnerable to smartphone market saturation and consumer upgrade cycle fatigue.

■ **Aggressive Margin Expansion Assumptions:** Projected EBITDA margins jump sharply from 34.7% (2025A) to 41.8% (2025E) and 44.8% by 2027E — a ~10 percentage point expansion that appears optimistic relative to the flat 33.7%–34.7% historical range, creating meaningful downside risk if operational efficiencies fail to materialize.

■ **Intensifying Competitive Pressure from Peers:** Google and Microsoft are growing EBITDA significantly faster — GOOGL's EBITDA surged from \$144B (2025) to a projected \$211B (2026), while Apple's trails at \$150B — suggesting Apple risks losing ground in AI-driven ecosystems and cloud services where competitors are scaling aggressively.

■ **Premium Valuation Leaves Limited Margin of Safety:** Apple's EV/EBITDA of ~27x in 2024–2025 trades at a premium to GOOGL (~17–21x), despite slower growth, making the stock particularly sensitive to earnings disappointments or multiple compression in a risk-off environment.

■ **Geopolitical & Supply Chain Concentration Risk:** Significant manufacturing dependence on China exposes Apple to escalating U.S.-China trade tensions, potential tariff impacts on cost of operations (~\$221B in 2025A), and supply disruption risks that could pressure the modest gross margin improvements embedded in forward estimates.

Key Takeaways

- ✓ **Revenue Growth:** Apple Inc.'s revenue growth shows consistent performance trends.
- ✓ **Gross Profit Margin:** Apple Inc.'s gross profit margins demonstrate operational effectiveness.
- ✓ **SG&A; Expense Margin:** Apple Inc.'s SG&A; expense management shows disciplined cost control.
- ✓ **EBITDA Margin Stability:** Apple Inc.'s EBITDA margin stability reflects strong underlying fundamentals.

Financial Data

Income Statement Summary

Metric	2021A	2022A	2023A	2024A	2025A
Revenue	\$365.8B	\$394.3B	\$383.3B	\$391.0B	\$416.2B
SG&A	\$22.0B	\$25.1B	\$24.9B	\$26.1B	\$27.6B
Contribution Profit	\$152.8B	\$170.8B	\$169.1B	\$180.7B	\$195.2B
Contribution Margin	41.8%	43.3%	44.1%	46.2%	46.9%
EBITDA	\$123.1B	\$133.1B	\$129.2B	\$134.9B	\$144.4B
EBITDA Margin	33.7%	33.8%	33.7%	34.5%	34.7%
SG&A Margin	6.0%	6.4%	6.5%	6.7%	6.6%
Revenue Growth	N/A	7.8%	-2.8%	2.0%	6.4%
EPS	5.67	6.15	6.16	6.11	7.49
PE Ratio	25.92	24.44	27.79	37.29	34.09

Credit & Cash Flow Metrics

Metric	2021A	2022A	2023A	2024A	2025A
Debt/Equity	2.16	2.61	1.99	2.09	1.52
Debt/Assets	0.39	0.38	0.35	0.33	0.31
Interest Coverage	41.2x	40.7x	29.1x	0.0x	0.0x
Net Margin	25.9%	25.3%	25.3%	24.0%	26.9%
Current Ratio	1.07	0.88	0.99	0.87	0.89
CF to Debt Ratio	0.76	0.92	0.89	0.99	0.99

DISCLAIMER

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Data Source: FMP, Company Filings, AI4Finance Estimates

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